

VFD Group Plc Doubles Half-Year Profit After Tax (PAT) as Investment-Led Growth Drives Strong Earnings Performance. Consolidated PAT rises 100.8% to ₦10.06bn; Company PAT increases 328% to ₦5.03bn

Lagos, Nigeria – 31 July 2026 VFD Group Plc (“VFD” or “the Group”), a leading principal investment company listed on the Nigerian Exchange Limited (NGX), has released its unaudited consolidated and separate financial statements for the six months ended 30 June 2026, reporting a significant improvement in profitability across both the Group and the parent company.

The results reflect the successful execution of VFD’s long-term capital allocation strategy and mark a transition from a capital raising phase to one focused on translating investments into sustainable earnings growth.

Strong Earnings Momentum Driven by Investment Income

Consolidated Performance

VFD Group recorded gross earnings of ₦53.71bn, representing a 30.5% year-on-year increase, supported primarily by the strength of its investment portfolio.

More significantly, profitability expanded at a much faster pace than revenue. Profit Before Tax (PBT) increased by 98.4%, while PAT doubled by 100.8%, to ₦10.06bn, demonstrating the Group’s ability to convert revenue growth into stronger shareholder returns.

Investment and similar income rose by 30.2% to ₦49.13bn, accounting for 91.5% of gross earnings, underscoring the resilience of the Group’s investment-led business model.

The Group’s total income outpaced the combined growth in operating costs, interest expense and impairment charges, resulting in improved operating leverage and stronger earnings retention.

Company Performance

The Company results provide a clear reflection of VFD’s core strengths in capital allocation, treasury management and disciplined funding of the Group. Gross earnings increased 62.5% to ₦23.87bn, while PBT surged by 295% to ₦5.95bn. PAT grew by 328% to ₦5.03bn, highlighting the significant improvement in profitability.

The Company balance sheet also strengthened considerably during the period. Shareholders’ funds more than doubled to ₦91.02bn, while borrowings declined 7% to ₦116.18bn from ₦124.9bn as of December 2025.

Total assets were marginally lower than December 2025 position, reflecting the strategic deployment of the proceeds from the Group’s rights issue to reduce debt and optimise its capital structure. The resulting combination of higher equity and a lower leverage has enhanced VFD’s financial flexibility and positioned it to pursue future investment opportunities from a stronger balance sheet.

Management Commentary

Commenting on the results, **Mr. Nonso Okpala, Group Managing Director of VFD Group Plc**, said:

“The first half of 2026 performance demonstrates the value of disciplined execution in a market that continues to reward thoughtful execution. Profit grew more than three times faster than revenue because we remain focused on deploying capital only where risk-adjusted returns justify it, while ensuring the businesses within our portfolio convert that capital into sustainable earnings rather than simply increased activity.

We told the market that the benefits of the rights issue would ultimately be reflected in earnings, and these results clearly validate that expectation. Company-level PBT increased by 295%, borrowings declined, shareholders' equity more than doubled and earnings per share grew 110% despite an enlarged share base. Those are the outcomes we believe matter most, and they are the standards by which we expect to be measured.

These results are not only a validation of our strategy but also demonstrate our commitment to rewarding shareholders as the business continues to grow. Reflecting the strength of our earnings and confidence in our outlook, the Board has approved an interim dividend of 24 kobo per ordinary share, balancing immediate shareholder returns with continued investment in the Group's long-term growth opportunities."

Commenting on the financial performance, **Mr. Folajimi Adeleye, Executive Director, Finance** said:

"We indicated after the first quarter that the full impact of the rights issue had yet to be reflected in our financial performance, and that the next phase of growth would be more pronounced. The first half results demonstrate that transition.

We enter the second half of the year with the strongest capital position in the Group's history, a materially lower cost of funding, and a portfolio of high-quality earning assets. Our priority now is straightforward: ensuring that every Naira of new capital consistently generates returns that exceed the cost of the debt it replaced."

Interim Dividend Declaration

In line with the Group's strong financial performance and commitment to delivering sustainable shareholder value, the Board of Directors has approved an interim dividend of 24 kobo (₦0.24) per ordinary share, resulting in a total dividend payout of approximately ₦3.04 billion. This action reflects the Board's confidence in the Group's earnings quality, capital position and long-term growth outlook.

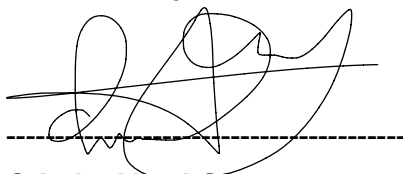
Outlook

VFD enters the second half of 2026 with a stronger balance sheet, an enhanced leadership team and greater clarity on where sustainable value is being created across its investment portfolio.

Management's priorities for the remainder of the year include: continuing balance sheet optimisation through a structured deleveraging programme; deploying capital only into clearly defined, high-conviction investment opportunities within the Group's strategic verticals; restructuring the operating model to strengthen active portfolio management and improve capital allocation efficiency; and building a world class succession planning framework that embeds institutional capability and ensures execution excellence beyond individual leadership.

With a strengthened financial position, disciplined investment approach and high-quality portfolio, the Group remains confident in its ability to sustain its growth trajectory and deliver even stronger performance in the periods ahead.

Approved By:



Odudu-Abasi Okon

Head, Group Strategy and Investor Relations

About VFD Group Plc

VFD Group Plc is a leading principal investment company listed on the NGX, committed to building Africa's most valuable ecosystem of businesses. The Group invests in and actively manages a diversified portfolio across key verticals, including market infrastructure, capital market operations, financial services and fintech, real estate and hospitality, and retail technology. With investments in Nigeria, Ghana and South Africa, VFD is focused on scaling high-impact businesses and delivering sustainable, long-term value to its stakeholders.

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Basis of Preparation and Forward-looking Statements

These financial results are unaudited and are subject to external audit.

Unless otherwise stated, financial information is presented on a consolidated basis. Income statement comparisons relate to six months ended 30 June 2025, while balance sheet comparisons are against 31 December 2025.

This announcement contains forward-looking statements regarding the Group's expectations, plans and prospects. Such statements involve known and unknown risks, uncertainties and assumptions that may cause actual results to differ materially from those expressed or implied. Past performance is not necessarily indicative of future results.

This announcement does not constitute an offer or invitation to buy or sell securities. Investors are encouraged to review the full financial statements published on the NGX and on the Company's website, **www.vfdgroup.com**.

Chairman: Olatunde Busari (SAN) **Group Managing Director:** Nonso Okpala **Executive Directors:** Folajimi Adeleye | Morenike Ominike

Non-Executive Directors: Adeniyi Adenubi | Azubike Emodi | Mobolaji Adewumi | Kelvin Orogun | Hubert Asamoah | Ibraheem Abe

Independent Non-Executive Directors: Adegboyega Fatoki | Omolola Bolusire | Rashida Saleh | Nneka Okekearu